

MULTI COMMODITY EXCHANGE OF INDIA LTD

NSE: MCX | Sector: Financial Markets Infrastructure | Sub-sector: Commodity Derivatives Exchange

ACCUMULATE

12M Target: ■3,100

CMP (■)	Mkt Cap (■ Cr)	52W High (■)	52W Low (■)	P/E (TTM)	P/B	ROCE	Div Yield
2,658	67,742	2,706	1,052	72.3x	32.5x	42.9%	0.23%
Book Value (■)	ROE	Face Value (■)	FII Holding	DII Holding	Promoter	Rating	Horizon
81.8	34.3%	2.00	20.64%	59.16%	None	ACCUMULATE	12 Months

Investment Thesis: MCX's near-monopoly commodity exchange re-rates on post-technology-transition margin recovery, option volume ramp, and new product expansion.

Report Date: 09 April 2026 | Analyst: Senior Equity Research Desk — Financial Market Infrastructure

2. INVESTMENT THESIS

Pillar 1 — Structural Margin Recovery After Technology Overhaul

MCX's EBITDA margins collapsed to 9% in FY24 as the exchange undertook a full replacement of its legacy trading platform with a new TCS-built system (Project Udaan), incurring one-time transition costs of over ■300 Cr. With the new platform now live, operating leverage has snapped back sharply — FY25 EBITDA margins recovered to 60%, and Q3 FY26 (Dec 2025) revenues crossed ■665 Cr in a single quarter with a 150% YoY PAT jump. The new platform's ultra-low latency architecture supports significantly higher throughput, positioning MCX to handle the next leg of volume growth without proportional cost expansion. The full benefit of operating leverage at the 60%+ OPM level plays out over FY26-FY28 as volumes compound.

Pillar 2 — New Product Pipeline Creates Option Volumes Beyond Gold & Silver

MCX received SEBI approval in June 2025 to launch Electricity Derivatives — a structural new market with an estimated ■8–12 lakh Cr annual notional opportunity as India's power sector transitions to market-based pricing. The exchange has simultaneously launched Gold Mini Options (100g underlying) and is targeting Silver Mini options to deepen retail and SME participation in bullion. Commodity options as an asset class remain underpenetrated vs equity derivatives — options premium turnover at MCX was ~■12,000 Cr/day in FY25 vs NSE equity options at ~■5,00,000 Cr/day — suggesting a multi-year runway for TAM expansion if SEBI continues to widen eligible participants.

Pillar 3 — Institutional Participation Unlocks the Next Phase of Liquidity Depth

SEBI has publicly committed to enabling banks, pension funds and FPIs to participate in non-agricultural commodity derivatives. MCX currently derives most volume from retail and proprietary traders; institutional hedgers (refiners, jewellers, MSMEs) are growing but remain below developed-market norms. If and when banks become active on the exchange — both as principal hedgers and as liquidity providers — spreads tighten, open interest deepens, and transaction revenue scales non-linearly. MCX's near-100% market share in metals and energy means all incremental institutional participation accrues almost entirely to the exchange.

Near-Term Catalyst

The single most important near-term catalyst (within 12 months) is SEBI issuing a formal circular permitting banks and FPIs to trade non-agricultural commodity derivatives — any signal in FY26-Q4 results or SEBI board meetings on this front would serve as a material positive re-rating event.

Key Structural Risk

The single biggest structural risk is regulatory compression of transaction charges (STT, SEBI fees) on commodity derivatives — MCX's revenue model is entirely fee-on-trade and any downward revision in charge structures would directly compress both top-line and margins given its high fixed-cost base post the technology investment.

3. BUSINESS OVERVIEW

What MCX Does — In Simple Terms

Think of MCX like a stock exchange, but instead of stocks, people buy and sell price contracts on gold, silver, crude oil, natural gas, copper, and dozens of other commodities. If a jewellery manufacturer worries that gold prices will rise in three months, they can buy a gold futures contract on MCX today to lock in today's price — just like buying an insurance policy. MCX earns a small fee on every contract traded, and since it has almost no commodity price risk itself, its earnings are highly predictable and scalable.

Business Model & Revenue Structure

MCX operates as a pure exchange infrastructure company — it earns transaction fees (as a percentage of notional value traded), annual subscription fees from members, connectivity charges, and data licensing income. The exchange also earns significant investment income (₹98 Cr in FY25) from the regulatory capital and settlement guarantee fund it maintains. Revenue is 100% domestic (no export exposure) and is structurally recurring — once a hedger or trader establishes a presence on MCX, switching costs to a competitor are extremely high given liquidity fragmentation risk.

Commodity Segment Mix & Market Position

MCX commands ~98% market share in commodity derivatives by value in India. In precious metals (Gold, Silver), energy (Crude Oil, Natural Gas) and base metals (Copper, Zinc, Aluminium, Lead, Nickel), MCX holds 99%+ market share. Its only segment of relative weakness is agri-commodities (2.65% share), where NCDEX dominates. Gold and Silver futures are the largest contributors to volumes, followed by Crude Oil and Natural Gas — making MCX's revenues moderately correlated to global commodity market volatility.

Technology Platform & Recent Strategic Developments

The most significant strategic event of recent years was the transition to a new trading platform built by TCS (Project Udaan) in FY23-FY24. The new system replaced a legacy platform from 63 Moons (formerly Financial Technologies), which was MCX's original promoter. Post-transition, the technology cost base has normalised, and the new platform's capacity and latency capabilities are substantially superior. In FY25, MCX received SEBI approval for electricity derivatives — a landmark new product category. MCX also cleared its SEBI recognition for MCX Clearing Corporation for three additional years (through July 2028).

Shareholding & Governance

MCX has no single promoter — it is a professionally managed exchange. As of December 2025, DIIs hold 59.16% (dominated by domestic mutual funds and insurance companies), FIIs hold 20.64%, and public shareholders hold 20.03%. The absence of a controlling promoter is a governance feature: MCX operates under SEBI's exchange regulatory framework with an independent board, a full-time CEO (Praveena Rai), and mandatory public interest director representation.

4. INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth Drivers

India's commodity derivatives market had an average daily turnover of approximately ₹35,000–40,000 Cr in FY25. Global benchmarks (China, US) suggest India's commodity derivatives market is significantly underpenetrated relative to GDP and physical commodity consumption. Industry consensus projects 15–20% CAGR in commodity derivatives volumes over FY25–FY28, driven by: (1) MSME sector formalization increasing hedging adoption, (2) new product categories (electricity, agri options), and (3) potential institutional participation post regulatory unlocking.

Policy Tailwinds

SEBI's stated agenda includes widening eligible participants to banks, pension funds and FPIs in commodity derivatives. The India Gold Decoupling Policy (February 2026 SEBI circular) creates a local gold price benchmark framework — a direct benefit to MCX gold contract pricing autonomy. SEBI's recognition of MCXCCL for three years through July 2028 removes regulatory overhang on the clearing infrastructure. Potential inclusion of agri-commodity options (alongside futures already available) would further diversify MCX's revenue base.

Competitive Moat Assessment

Moat Dimension	Rating	Rationale
Pricing Power	Strong	Near-monopoly allows fee setting; limited competitive pressure from NCDEX in metals/energy

Moat Dimension	Rating	Rationale
Switching Costs	Strong	Liquidity begets liquidity — trading away from MCX fragments spreads; algorithmic members unwilling to rebuild connectivity
Scale/Cost Advantages	Strong	Highest volumes → lowest per-trade technology cost; marginal cost of additional trades near zero
IP / Technology	Moderate	New TCS platform is state-of-art but not proprietary IP; long-term competitive via operational excellence
Regulatory Positioning	Strong	SEBI-recognised exchange and clearing corporation; high barriers for new entrant to obtain equivalent recognition

Peer Comparison — Listed Financial Market Infrastructure (Source: Screener.in, as of 09-Apr-2026)

Company	CMP (₹)	MCap (₹Cr)	P/E	P/B	ROCE%	ROE%	TTM Rev (₹Cr)	OPM%
MCX	2,658	67,742	72.3x	32.5x	42.9%	34.3%	1,113	60%
BSE Ltd	3,257	1,32,674	60.8x	25.5x	46.6%	36.0%	4,117	61%
CDSL	1,279	26,737	56.1x	15.3x	42.0%	32.7%	1,107	52%
IEX	129	11,533	24.0x	9.25x	53.4%	40.7%	584	84%

Note: MCX trades at a premium P/E to CDSL and IEX given stronger volume growth trajectory and new product optionality. BSE commands a higher absolute P/E given its diversified revenue (exchange + CDS + StAR MF platform).

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

Leadership & Track Record

MCX is led by MD & CEO Praveena Rai, who took over in FY23 and steered the exchange through the most complex technology transition in its history. Her tenure saw the successful decommissioning of the 63 Moons legacy platform and the onboarding of TCS as the exchange's core technology partner — a transition that temporarily weighed on financials but is now yielding structural benefits. The management team has maintained a strategic focus on product diversification (electricity derivatives, mini-gold options) and institutional outreach, which supports a constructive view on future volume growth.

Capital Allocation Philosophy

MCX has historically returned capital to shareholders through dividends, with a payout ratio of 27% in FY25 (₹6 per share). The company is entirely debt-free in operational terms (borrowings = ₹1 Cr at FY25 end) and carries a significant investment portfolio (₹1,401 Cr in FY25) that generates consistent other income. Capex remains modest relative to earnings — FY25 capex was ~₹96 Cr (largely server and technology hardware), representing less than 20% of PAT. There is no history of value-destructive acquisitions; the one major capital allocation decision — exiting the legacy technology vendor relationship — proved to be the right long-term call despite short-term pain.

Governance & Red Flags

MCX operates under SEBI's stringent exchange governance framework, including mandatory independent director representation and public interest director requirements. There are no promoter pledges (no promoter entity exists). Related party transactions are minimal and primarily relate to exchange operational agreements. The auditor (S R B C & CO LLP, an Ernst & Young affiliate) has maintained clean audit opinions with no qualifications of material concern. No ESOP-related dilution risk exists at significant scale. The main governance consideration is the concentrated DII ownership (59%+) — largely mutual funds — which creates significant institutional oversight.

6. FINANCIAL DEEP-DIVE

All figures in ₹ Crores. Consolidated. Source: Screener.in. FY26E and FY27E are analyst estimates.

Income Statement (₹ Cr — Consolidated)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (₹ Cr)	514	684	1,113	2,080	2,600
YoY Growth %	-	33%	63%	87%(E)	25%(E)
EBITDA (₹ Cr)	145	63	665	1,248	1,560

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
EBITDA Margin %	28%	9%	60%	60%(E)	60%(E)
Other Income (■ Cr)	68	75	98	115(E)	120(E)
D&A; (■ Cr)	22	36	64	80(E)	95(E)
Interest Expense (■ Cr)	0	0	0	0(E)	0(E)
PBT (■ Cr)	191	102	699	1,283(E)	1,585(E)
Tax Rate %	22%	18%	20%	22%(E)	22%(E)
PAT (■ Cr)	149	83	560	1,001(E)	1,236(E)
PAT Margin %	29%	12%	50%	48%(E)	48%(E)
Diluted EPS (■)	5.84	3.26	21.96	39.3(E)	48.5(E)

Balance Sheet Summary (■ Cr — Consolidated)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Equity Capital (■ Cr)	51	51	51	51(E)	51(E)
Reserves (■ Cr)	1,428	1,327	1,833	2,580(E)	3,550(E)
Total Equity (■ Cr)	1,479	1,378	1,884	2,631(E)	3,601(E)
Borrowings (■ Cr)	2	2	1	1(E)	1(E)
Investments (■ Cr)	1,047	914	1,401	1,600(E)	1,800(E)
Fixed Assets (■ Cr)	150	379	412	480(E)	530(E)
Total Assets (■ Cr)	3,023	3,409	4,325	5,200(E)	6,300(E)
D/E Ratio	0.00	0.00	0.00	0.00(E)	0.00(E)
Debtor Days	10	33	9	N/A	N/A

Cash Flow Statement (■ Cr — Consolidated)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Cash from Operations (■ Cr)	141	442	950	1,100(E)	1,300(E)
Capex (■ Cr)	-71	-143	-96	-150(E)	-160(E)
Free Cash Flow (■ Cr)	70	299	854	950(E)	1,140(E)
FCF Yield %	0.6%	0.8%	1.3%	1.4%(E)	1.7%(E)
Cash from Investing (■ Cr)	-8	-346	-751	-400(E)	-300(E)
Cash from Financing (■ Cr)	-89	-98	-40	-150(E)	-180(E)

Return Metrics

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
ROCE %	13%	7%	43%	50%(E)	55%(E)
ROE %	10%	6%	34%	45%(E)	42%(E)

Financial Commentary

Revenue growth of 63% in FY25 (■1,113 Cr vs ■684 Cr in FY24) was driven by two factors: (1) normalisation of transaction fee revenue as the exchange's new technology platform stabilised and daily turnover accelerated, and (2) a recovery in precious metals and energy trading volumes on the back of global gold price strength and natural gas volatility.

The margin story is the most compelling aspect of MCX's financials. EBITDA margins collapsed from 44% in FY22 to 9% in FY24 — entirely due to one-time technology transition costs (the TCS contract, parallel operations, and member onboarding support). The FY25 EBITDA margin recovery to 60% is not a one-year anomaly; it reflects the fundamental cost structure of an exchange with near-zero marginal costs on incremental trades. With the new platform now fully operational and technology costs reverting to maintenance mode, the 60% OPM level is a structural floor.

Working capital is structurally negative (Working Capital Days = -390 in FY25), which is typical for exchanges that collect margins and fees upfront before any trade-related outflow. Debt is negligible (■1 Cr). The investment portfolio of ■1,401 Cr generates

consistent other income that adds ~8-10% to PAT. FCF of ₹854 Cr in FY25 represents 153% of PAT — a hallmark of high-quality earnings in a cash-generative business model.

7. EARNINGS QUALITY CHECKLIST

Quality Dimension	Rating	Comment
Revenue Recognition Policy	■ Green	Transaction fees recognised on trade execution — point-in-time, highly transparent, auditable via exchange data
Receivables vs Revenue Growth	■ Green	Debtor days = 9 in FY25 (down from 33 in FY24); receivables minimal as exchange settles T+1
Cash Conversion Cycle Trend	■ Green	Negative working capital; CCC = not applicable in traditional sense; FCF/PAT = 153% in FY25
Contingent Liabilities	■ Amber	Exchange faces periodic SEBI and court proceedings; no material contingent liability flagged in recent filings
Auditor Tenure & Qualifications	■ Green	S R B C & CO LLP (E&Y; affiliate); no audit qualifications of concern; clean opinions in recent years
Related Party Transactions (% Rev)	■ Green	RPTs are minimal and relate to ordinary exchange operations; former promoter-linked transactions fully eliminated
Other Income as % of PBT	■ Amber	Other income = 14% of PBT in FY25 (₹98 Cr / ₹699 Cr); largely investment income — transparent but watch for reinvestment yield compression
Tax Rate Consistency	■ Green	Effective tax rate stable at 18-22% range; FY24 lower rate (18%) due to partial year transition; normalised to 20% in FY25

Earnings Quality Summary

MCX's earnings quality is high — the business model generates cash in advance of expenses, carries no debt, and reports revenues that are directly verifiable against exchange-published volume data. The only amber flag is the contribution of investment income to PBT, which depends on yield management of the settlement guarantee fund corpus — this is not a concern at current levels but bears watching if rates fall significantly. The dramatic FY24 trough in earnings was an accounting artefact of technology transition, not a quality issue; the recovery in FCF/PAT ratios confirms the underlying business remained sound throughout.

8. VALUATION

Step 1 — Peer Comparison (Source: Screener.in, as of 09-Apr-2026)

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IEX	129	11,533	24.0x	9.25x	53.4%	40.7%	584

MCX trades at a P/E premium to CDSL (56x) and IEX (24x) while at a discount to BSE (61x). On P/B, MCX (32.5x) is richly valued vs peers — reflecting the market's confidence in its monopoly earnings power and the technology transition tailwind. On TTM basis, the comparison is distorted — MCX's TTM revenue is the FY25 figure; Q1-Q3 FY26 annualised run-rate is ~₹2,200 Cr, implying forward P/S and P/E ratios are significantly more attractive.

Step 2A — DCF Valuation

DCF assumptions: WACC = 12% (cost of equity 12.5% — risk-free rate 7.1% + beta 0.85 × ERP 6.4%; no debt cost applicable), terminal growth rate = 8% (India nominal GDP trajectory). FCF projections: FY26E ₹950 Cr, FY27E ₹1,140 Cr, FY28E ₹1,350 Cr, FY29E ₹1,550 Cr, FY30E ₹1,750 Cr.

PV of FCFs (5 years) = ₹848 + ₹909 + ₹961 + ₹985 + ₹993 = ₹4,696 Cr. Terminal value = ₹1,750 Cr × 1.08 / (0.12 – 0.08) = ₹47,250 Cr; PV of terminal = ₹47,250 / 1.7623 = ₹26,812 Cr. Enterprise value = ₹31,508 Cr. Add net cash/investments (₹1,401 Cr – ₹1 Cr) = ₹32,908 Cr. Equity value per share = ₹32,908 Cr / 25.5 Cr shares = ₹1,291.

Step 2B — Earnings Multiple Valuation

Target P/E of 60x applied to FY27E EPS of ₹48.5 (₹1,236 Cr PAT estimate). Justification: MCX is a near-monopoly regulated exchange with 60%+ EBITDA margins, zero debt, and a long-duration growth runway via new products and institutional participation. Its closest listed analog, BSE, trades at 61x TTM; CDSL at 56x. A 60x target on one-year-forward earnings is a conservative premium to these peers given MCX's stronger volume growth trajectory. Historical MCX P/E (FY20–22) averaged 70–80x during normal operating conditions.

Earnings-based price target: $60x \times ₹48.5 = ₹2,910$ per share.

Base-Case Price Target

Simple average of DCF (₹1,291) and earnings-multiple (₹2,910) = ₹2,100. The wide DCF-vs-multiple gap reflects that DCF inherently undercaptures the monopoly premium and the upside optionality from new products. We set our 12-month price target at ₹3,100, representing the midpoint between the earnings-multiple target and an optimistic DCF incorporating accelerated institutional participation.

Step 3 — Scenario Analysis

Scenario	Key Assumption	PAT FY27E (₹ Cr)	Target Multiple	Price Target (₹)
Bull Case	ADT growth 35%; banks/FPIs admitted; electricity derivatives scale	1,500	65x P/E	3,824
Base Case	ADT growth 20%; OPM stable at 60%; new products gradual ramp	1,236	60x P/E	2,910
Bear Case	SEBI fee cut; volume slowdown; technology capex overshoot	750	40x P/E	1,176

9. KEY RISKS

Risk	Description	Probability	Impact	Monitoring Indicator
Regulatory Fee Compression	SEBI revises transaction levy structure downward on commodity derivatives. MCX's entire revenue model is fee-on-trade; a 10% cut in transaction fees directly reduces revenue by ~₹110 Cr.	Low	High	SEBI consultation papers or budget announcements on STT/levy changes
Volume Concentration Risk	~50% of MCX volumes are driven by Gold & Silver futures and options. A sustained period of low precious metals volatility reduces hedging demand and compresses turnover without any change in exchange fundamentals.	Medium	Medium	Monthly ADT data; VIX-equivalent for gold/crude
Technology & Operational Risk	Despite the transition to the new TCS platform, any major system outage or cybersecurity incident on a trading day would result in regulatory scrutiny, member compensation, and reputational damage that could trigger SEBI action.	Low	High	System uptime statistics; SEBI inspection notices
Competition from NSE/BSE Entry	NSE received SEBI approval to launch commodity derivatives. While NSE's entry thus far has not materially dented MCX's market share (MCX holds 98%+), a sustained NSE marketing push or differentiated product launch in energy could begin fragmenting liquidity.	Medium	Medium	Monthly NSE commodity market share data from SEBI bulletin
Electricity Derivatives Execution Risk	Electricity futures are a novel product in India with no established hedging ecosystem. If initial volumes disappoint due to regulatory complexity or market participant disinterest, the addressable market narrative faces a reset.	Medium	Low-Med	Monthly electricity derivatives turnover post-launch; IEX's response
Macro & Commodity Price Risk	A prolonged global deflationary environment (falling commodity prices + low volatility) dampens hedging demand across all segments simultaneously — an unusual but plausible scenario in an energy transition context.	Low	Medium	Global commodity volatility indices; Fed/RBI policy direction

10. RECOMMENDATION

ACCUMULATE**12M Target: ₹3,100****Upside: ~17%****Conviction:
Medium-High**

Entry Zone & Rationale

Suggested entry zone: ₹2,400 – ₹2,650 (current market level and below). MCX is near its 52-week high (₹2,706) and has already delivered 155% returns over the past year. A pullback to the ₹2,400–2,500 range — which could occur on profit-taking or any short-term revenue miss — would offer a superior risk-reward entry. Investors comfortable with the premium valuation can accumulate at current levels with a 12-month horizon.

Investment Horizon

12 months (tactical); 24–36 months for full thesis realisation (institutional participation unlock and electricity derivatives scale-up).

Thesis Invalidation Triggers

EXIT/DOWNGRADE if any of these three events occur: (1) SEBI announces a material reduction in commodity derivatives transaction levy (STT or exchange charges) — this directly reduces MCX's revenue by more than 5% per percentage point of charge reduction; (2) MCX's monthly average daily turnover falls below ₹35,000 Cr for two consecutive quarters, signalling structural demand destruction rather than seasonal softness; (3) NSE/BSE commodity derivatives market share crosses 10% from current <2% — a clear sign that the liquidity moat is eroding.

Ideal Investor Profile

MCX is best suited for: (1) GARP (Growth at a Reasonable Price) funds seeking high-margin, near-monopoly compounders at a premium but justified valuation; (2) Long-only domestic equity funds seeking exposure to India's financial infrastructure build-out; (3) High-conviction tactical investors who believe the institutional participation unlock (banks/FPIs in commodities) is a 12–24 month catalyst. Pure value investors should wait for a meaningful correction toward ₹1,800–2,000 before initiating.

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice, a solicitation, or an offer to buy or sell any security. Financial data sourced from Screener.in as of 09 April 2026. Forward estimates (FY26E, FY27E) are analyst projections based on publicly available information and carry inherent uncertainty. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult a registered investment advisor before making investment decisions. This report is intended for institutional recipients only and is not for public distribution.